Group Audit Controls: SJK (30 marks)

You are the audit manager planning the audit of the group financial statements of SJK Group Ltd ('SJK' or 'the group') for the year ending 31 October 20X3. This is the first year that your firm is auditing the group. SJK is a non-trading holding company that owns 100% of the share capital in its three trading subsidiaries:

- NessDhu Whisky Limited ('NessDhu') – producer of NessDhu whisky
- Soups and Sauces Limited ('Soups') – manufacturer of high-quality soups and sauces
- Lowland Garden Centres Limited ('Lowland') – retailer of plants and associated items from three sites in Northern Ireland

Acceptance procedures for the group have been completed. You have held a meeting with Jasmine Smith, the group financial accountant, where you obtained an understanding of the year- end consolidation process (Appendix). Ahead of the year end, your audit partner, Amelia Watkins, has asked you to review the process and draft some points for inclusion in a letter to SJK in which you identify the weaknesses, evaluate the implications and recommend improvements to the consolidation process.

Required:

1. Identify the weaknesses, evaluate the implications and recommend improvements to the consolidation process.

(30 marks)

APPENDIX – Notes from a meeting with Jasmine Smith, group financial accountant

The consolidation is performed by Jasmine Smith with the process overseen by Graham Lee (group financial controller) and Lyndsay White (financial director).

Reporting Pack

After the year end Jasmine emails the group consolidation instructions and reporting pack to each subsidiary financial accountant. These instructions include the timetable for reporting, group accounting policies including inventory-taking instructions, procedures for agreements of intra-group balances and identification of related party transactions. The instructions and reporting packs are reviewed and approved by Lyndsay prior to emailing.

The reporting pack comprises a password protected spreadsheet. The reporting pack should be completed by each subsidiary financial accountant. This spreadsheet has details of all the figures and information needed for the group financial statements, including disclosure notes. Cells within the spreadsheet are protected so that rows cannot be deleted or formulas amended, however there is no section to indicate that the reporting pack has been signed off. Historically, there have been omissions from the reporting packs for a range of disclosure note information.

Consolidation Spreadsheet

Once all of the reporting packs have been received, Jasmine completes the consolidation spreadsheet entering the figures from each reporting pack. This spreadsheet is password protected using the same password as for the reporting packs and has control totals within the input section of the spreadsheet to ensure that figures are correctly copied in. Each subsidiary has a single input column and these are totalled for all the group companies before the input of consolidation adjustments and the production of draft consolidated figures. Any amendments to the consolidation spreadsheet (for example for new disclosures) are manually added to the spreadsheet by Jasmine but no further testing or error checking of the spreadsheet formula is performed.

Adjustments

Jasmine prepares the consolidation adjustments including the elimination of investments in subsidiaries and any intra-group trading and balances. Once completed, she posts these journal adjustments to the consolidation spreadsheet without any further review, and the draft consolidated financial statements are prepared.

Financial Statements and Disclosure

Graham reviews the draft consolidated financial statements, providing an electronic sign-off as evidence of his review before forwarding these to Lyndsay.

Once Graham has signed off the spreadsheet, Jasmine completes a disclosure checklist which is also reviewed and electronically signed off by Graham.

All information relating to the consolidated financial statements including a copy of the signed consolidated financial statements, reporting packs, the final version of the consolidation spreadsheet, consolidation adjustments and copies of all supporting documents including discussion papers on any judgements made, are held within a single folder, which has unrestricted access, on the SJK network. The folder is automatically backed up to a cloud server daily, in line with group policy.